

HEADLINE JUDGMENT

Note: 29 Jun figures are intraday prints; 26 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score RISES +1 to 21/30 — the first uptick since the de-escalation began — as escalation-risk upgrades 3→4 on the first armed exchange since the MOU.** An Iranian IRGC drone struck the Singapore-flagged container ship Ever Lovely in the Gulf of Oman on Thursday (25 Jun); the IMO paused its evacuation of ~600 ships / 11,000 seafarers; and US CENTCOM carried out retaliatory strikes on Iranian military targets (26 Jun). Trump called it a “foolish violation” of the ceasefire. **The deal framework holds** — both sides signaled restraint (Trump gave little sign of a return to active hostilities), and talks continue (Israel–Lebanon day four in Washington; the US–Iran technical track) — so the score stays at the top of the systemic-risk-watch band (15–21), not back in the crisis band. But the contested implementation turned kinetic, and the downgrades that looked imminent are pushed back. **The attack stalled the traffic recovery:** crossings had surged (73 Wed, the highest since the war; ~125 in the week per Lloyd's) but fell roughly by half on Friday after Iran's PGSA warned that transit outside its designated routes “will not be covered by safe passage” and vessels U-turned — maritime holds 4 (→3 off the table near-term; not 5, the strait is not re-closed). **Oil hovered at pre-war through it:** Brent closed \$72.60 on 26 Jun (+\$0.12 above the anchor) and is \$73.36 intraday — the attack added only a small risk bid, so oil holds 2 (→1 pushed back). 5Y5Y drifted up to 2.18% (US-inflation holds 3); the hawkish Fed still pins Treasury (4; MOVE eased to 66.79, dollar >101.3). Iran also signaled tolls resume after the 60-day window (Rubio/GCC reject them), and the IAEA-inspection dispute is unresolved. Sequencing 18 → 20 → 21.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

29 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 26 Jun and earlier are final closes (restated continuation series). d/d deltas are 29 Jun intraday vs 26 Jun close; w/w deltas are vs 22 Jun close.

Benchmark	Intraday 29 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$73.36 /bbl	+\$0.76 (–\$4.16 w/w)	from \$72.48 (+1.2%) — near pre-war; risk premium ~\$0.9/bbl, with a small bid back from the ship attack	CO1 Comdty
Brent · 26 Jun close (carried)	\$72.60 /bbl (vs \$75.05 intraday I reported)	close ran \$2.45 BELOW my intraday — oil crashed to the pre-war anchor into the close		CO1 Comdty (Close)
WTI front-month	\$69.75 /bbl	+\$0.82 (–\$4.11 w/w)	from \$67.02 (+4.1%) — low \$70s	CL1 Comdty
Brent–WTI spread	\$3.61 /bbl	–\$0.06 d/d	steady	derived
Henry Hub natural gas	\$3.31 /MMBtu	+\$0.03 (+\$0.03 w/w)	from \$3.06 (+8.0%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€41.52 /MWh	+€0.67 (–€0.51 w/w)	from €31.23 (+32.9%) — firmer on the renewed strait risk	TZTA Comdty
Japan/Asia LNG (26 Jun print)	¥2,479	–¥6 vs 25 Jun	from ¥1,669 (+48.5%) — stable	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

29 Jun 2026 yields are intraday. d/d deltas are 29 Jun intraday vs 26 Jun close; w/w deltas are vs 22 Jun close. The complex still reflects the 17 Jun hawkish FOMC; yields eased over the week.

Tenor	Yield (%) — intraday 29 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.11	+1.4	–11.9	+73 (from 3.37%) — easing but hawkish-FOMC level	USGG2YR Index
5-year UST	4.15	+1.8	–14.1	+64 (from 3.50%)	USGG5YR Index
10-year UST	4.38	+1.6	–12.5	+45 (from 3.94%) — 27 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.87	+0.5	–7.9	+26 (from 4.61%) — below 5.00%, 37 bp above the 4.50% leg	USGG30YR Index
2s10s spread	+28 bp	+0.1	–0.3	–28 (flat — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.20 (26 Jun)	—	—	–5 (from 2.26%) — below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.18	+1.2	–0.1	+4 (from 2.14%) — drifting back up, above the pre-war anchor (US-inflation at 3)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.34	29 Jun intraday	+3.73 (from 97.61)	Holding >101.3 (+0.32 w/w) on the hawkish FOMC — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	66.79	26 Jun (lagged)	-6.59 (from 73.38)	Easing toward the 65 leg of the Treasury →3 trigger — but the 30Y leg (<4.50%) is far off. Far below the 130 Stage-4 level.
VIX (equity vol)	18.41	26 Jun (lagged)	-1.45 (from 19.86)	Below pre-war — the ship attack did not spark equity stress; markets read it as contained.
US gasoline retail avg	\$4.51 /gal	25 Jun (latest print)	+\$0.99 (from \$3.52, +28%)	Below the \$4.75 threshold (political-stress at 4); still ~\$1 above the \$3.52 pre-war level — the lagging pump price.

Strait operational state

Indicator	Current reading	Source
Ceasefire violation — ship attacked (25 Jun)	An Iranian IRGC drone struck the Singapore-flagged container ship Ever Lovely southeast of Dahit, Oman; UKMTO confirmed damage, no injuries. The first vessel attack under the MOU.	CNN / AP / UKMTO
US retaliation (26 Jun)	CENTCOM carried out retaliatory strikes on Iranian military targets; Trump called the drone attack a "foolish violation" (four drones, three shot down) but gave little sign of a return to active hostilities.	Fox / CNN / Wikipedia
IMO evacuation paused	The IMO paused its plan to evacuate ~600 ships / 11,000 stranded seafarers (begun 23 Jun) pending renewed safety guarantees; Iran's PGSA said transit outside its designated routes "will not be covered by safe passage."	NPR / Al Jazeera / IMO
Traffic — surged then halved	Crossings hit 73 on Wed (highest since the war; ~125 in the week per Lloyd's), then fell ~half on Friday as Iran asserted route control and at least two vessels U-turned. Central channel still mined.	CNN / Lloyd's / MarineTraffic
Toll dispute re-emerges	An Iranian negotiator said Iran will resume collecting strait fees once the 60-day suspension ends; Rubio (with the GCC in Bahrain) said tolls will "never" be acceptable and the GCC "rejected any tolls."	Iran Intl / CNN / Reuters
IAEA / macro overlay	The IAEA-inspection dispute is unresolved (Grossi expects access; Iran ties it to a final deal). The 17 Jun hawkish FOMC (dots 3.8%) keeps the dollar >101.3 and the front end firm.	PBS / NPR / Fed

2 · US economic shock — analysis with bond yields

The US economic shock ticks up to **21/30** — its first rise since the de-escalation began — as escalation-risk returns to 4 on the first armed exchange under the MOU. The market channels barely moved (oil near pre-war, 5Y5Y just above its anchor, the dollar Fed-pinned); the increase is geopolitical, not market-priced stress. The deal framework holds, so this is a setback within the systemic-risk-watch band rather than a return to crisis. No Stage-4 signal.

2.1 · Bond-yield transmission

29 Jun yields are intraday; d/d vs 26 Jun close, w/w vs 22 Jun. **Escalation 3→4; score 20→21.** Yields eased over the week (2Y -11.9 bp, 10Y -12.5 bp w/w) even as the dollar held >101.3; the ship attack barely registered in rates (VIX 18.41, below pre-war). Brent bounced to \$73.36 off its \$72.60 close.

(i) Inflation anchor — drifting up; held at 3. 5Y5Y forward at 2.18% (closed 2.1685% on 26 Jun) has drifted back to +3.8 bp above the 2.142% pre-war anchor over four sessions; 10Y breakeven 2.20% is below pre-war. The forward impulse is near pre-war but no longer falling, so US-inflation holds at 3. A sustained close at/below 2.142% takes it to 2; a renewed rise >2.20% to 4.

(ii) Long-end — 4.87%; Treasury Fed-pinned at 4. 30Y at 4.869% holds below 5.00% and MOVE eased to 66.79 (toward the 65 leg), but the 30Y is 37 bp above the 4.50% leg and the front end is firm (2Y 4.11%, dollar >101.3) on the hawkish dots. The →3 needs both legs. 10Y at 4.38% is 27 bp below the 4.65% trigger.

(iii) Oil — at pre-war but bid; held at 2. Close path: \$75.50 (25 Jun) → \$72.60 (26) → \$73.36 intraday (29 Jun); WTI \$69.75. The 26 Jun close touched the \$72.48 anchor, but it was a single close and the ship attack has put a small risk bid back (+\$0.76 d/d). Risk premium ~\$0.9/bbl. Oil holds at 2; a sustained close at pre-war absent fresh attacks takes it to 1, a re-closure / major strikes restores 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the complex is far from it; the live question is whether the ceasefire violation stays contained or spirals.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 4.90%, coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.869% is 33 bp below the 5.20% trigger; 10Y 4.38% is 27 bp below 4.65%.

Threshold C · MOVE above 130. Contained. MOVE 66.79 and VIX 18.41 are both below pre-war — the ship attack did not move them. Far below Stage-4 levels. HY OAS not in the BBG sheet.

2.3 · Cross-asset

The notable feature is the divergence: a real kinetic escalation (drone attack on a ship, US retaliatory strikes) lifted the escalation channel but barely touched the market gauges — oil up less than a dollar, breakevens and the long end still easing, VIX below pre-war. Markets are pricing the violation as a contained, leverage-driven incident rather than a return to war. That keeps the score's increase entirely geopolitical;

the Fed-pinned dollar and front end remain the only above-pre-war macro hold-outs.

3 · Shock score

Total: **21/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4 — →3 off the table near-term. The Ever Lovely attack paused the IMO evacuation and halved Friday's traffic; Iran's PGSA is asserting route control and vessels U-turned. The central channel is still mined. Not 5 — the strait is not re-closed and traffic still flows on Iranian-approved routes.	↑ strait re-closed / blockade reinstated → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	Held at 2. Brent \$72.60 close (26 Jun, at the anchor) → \$73.36 intraday; the ship attack put a small risk bid back (+\$0.76 d/d). Risk premium ~\$0.9/bbl. One close at pre-war is not yet sustained.	↑ Brent >\$95 sustained → to 3. ↓ Brent close at the \$72.48 pre-war level sustained (absent fresh attacks) → to 1.
US inflation impulse	3/5	Held at 3. 5Y5Y 2.18% has drifted up to +3.8 bp above the 2.142% pre-war anchor over four sessions; 10Y BE 2.20% (below pre-war). The forward impulse is near pre-war but no longer falling.	↑ 5Y5Y clearly rising >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned, →3 watch. 30Y 4.869% (<5.00%) with MOVE 66.79 easing toward the 65 leg; but the 30Y is 37 bp above 4.50% and the front end is firm on the hawkish dots (2Y 4.11%, dollar >101.3).	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.51 (25 Jun), below the \$4.75 threshold but still ~\$1 above the \$3.52 pre-war level — the lagging pump price, falling with crude.	↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	UPGRADED 3→4. The first armed exchange since the MOU: an Iranian drone struck the Ever Lovely (25 Jun) and US CENTCOM carried out retaliatory strikes (26 Jun); Trump called it a "foolish violation." The deal holds and both sides showed restraint — so not 5 — but the implementation turned kinetic.	↑ sustained strikes / re-closure / deal collapse → to 5. ↓ incident contained + talks resume + normalization → back to 3.
TOTAL	21/30	Systemic-risk-watch band — 20→21 (first uptick). Escalation returned to 4 on the ceasefire violation; the market channels held near pre-war. The medium-term normalization trend is intact, but this is a genuine setback — watch whether restraint holds (resuming the downtrend) or the tit-for-tat spirals (escalation toward 5, score toward the crisis band).	

4 · What's changed since the last edition (26 Jun AM → 29 Jun AM)

Score rises +1 to 21/30 — the first uptick since the de-escalation began. Escalation-risk upgraded 3→4 on the first armed exchange under the MOU. Source: CNN / AP / Fox / Bloomberg.

Ship attack + US retaliation. An Iranian IRGC drone struck the container ship Ever Lovely (25 Jun); US CENTCOM struck Iranian military targets in response (26 Jun); Trump called it a "foolish violation," but signaled no return to active war. Source: CNN / Fox / Wikipedia.

IMO evacuation paused; traffic halved. The IMO paused its ~600-ship / 11,000-seafarer evacuation; crossings fell ~half on Friday as Iran's PGSA asserted route control and vessels U-turned. Maritime holds at 4, with →3 now off the table near-term. Source: NPR / CNN / Lloyd's.

Market read: contained. Brent added under a dollar (to \$73.36) and the long end kept easing; VIX 18.41 is below pre-war. Oil holds 2, US-inflation 3 (5Y5Y drifting up to 2.18%), Treasury 4. Source: Bloomberg.

Tolls and IAEA still open. Iran signaled strait fees resume after 60 days (Rubio/GCC reject them); the IAEA-inspection dispute is unresolved. Both feed the breakdown risk. Source: Iran Intl / CNN / PBS.

26 Jun close vs my intraday. Brent crashed to \$72.60 into the close (vs my \$75.05) — to the pre-war anchor, the opposite of the prior session's bounce; the intraday-vs-close swings continue (\$9). Source: Bloomberg 26 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — incident contained, normalization resumes	52%	The ship attack stays a one-off; the IMO evacuation resumes; the 60-day nuclear/sanctions talks continue. The downtrend resumes. Trimmed on the violation.	Brent \$66–76; 30Y 4.5–4.9%; MOVE <68; score resumes its drift toward the stress band (8–14).
Slow / partial implementation	34%	Ceasefire holds but normalization is slow and now violent — sporadic incidents, route disputes, a still-mined central channel, the toll fight, 2027 for full flows.	Brent \$72–84; yields stable; residual risk premium ~\$2–6/bbl; maritime and escalation stay put.
Implementation breakdown (60-day window)	9%	The tit-for-tat recurs, the toll/IAEA terms snag, or Iran re-restricts the strait — stalling the deal without full-scale war. Raised on the violation.	Brent \$84–98; yields drift up; risk premium rebuilds toward \$12–18/bbl; escalation to 4–5.
Ceasefire breakdown / re-escalation	4%	The strikes spiral — via Hormuz or Lebanon — and active hostilities resume despite the signed MOU. Raised on the first armed exchange.	Brent \$104–130; 10Y >4.65%; 30Y >5.20%; risk-off; score back into the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, contained for now by both sides' restraint.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 26 Jun edition: deal-holds normalization –8 (60→52), slow/partial +2 (32→34), implementation-breakdown +4 (5→9), ceasefire-breakdown +2 (2→4); regional relapse (1%) held. Driver: the first armed exchange under the MOU (the Ever Lovely strike

and US retaliation) re-weights the distribution toward the contested and breakdown paths, though both sides' restraint and the intact talks keep the clean-glide case the single most likely. The hawkish Fed pins the Treasury channel regardless.

6 · Watchlist · next 24–72 hours

Ceasefire-violation aftermath — the key swing. Whether the Ever Lovely strike and US retaliation stay a contained one-off (escalation back to 3, downtrend resumes) or the tit-for-tat recurs (escalation to 5, score toward the crisis band). The single most important watch item.

IMO evacuation / strait traffic. The ~600-ship evacuation is paused pending safety guarantees; Friday's traffic halved. A resumption with sustained >25% transits (verified mine-free) takes maritime toward 3; further attacks take it toward 5.

Iran route control / tolls. The PGSA is asserting designated routes and Iran signals fees resume after 60 days; the US and GCC reject tolls. A structural friction and a re-restriction risk.

IAEA inspections. Grossi expects access; Iran ties it to a final deal and sanctions relief. The nuclear track is the core 60-day test and a breakdown route.

Oil at pre-war — oil to 1. Brent \$73.36 carries a ~\$0.9/bbl premium; absent fresh attacks, a sustained close at the \$72.48 anchor takes oil 2→1. A re-closure / major strikes restores 3.

Treasury long-end — →3 watch. 30Y 4.869% with MOVE easing to 66.79; a 30Y close <4.50% with MOVE <65 would take Treasury 4→3. Incoming CPI (4.2%) is the governor.

Lebanon. The Israel–Lebanon talks in Washington (day four) and continued flare-ups are the other route to a ceasefire breakdown — and a lever Iran ties to the strait.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. CNN, AP, NPR, PBS, Fox, CNBC, Al Jazeera, Reuters, Bloomberg, Lloyd's List, MarineTraffic, UKMTO, IMO; US CENTCOM, US Treasury, Federal Reserve. The Ever Lovely drone strike (25 Jun) and US retaliatory strikes (26 Jun), the IMO evacuation pause, the PGSA route-control warnings and the halved Friday traffic, the toll dispute (Rubio/GCC), and the IAEA-inspection stand-off via CNN / AP / NPR / Fox / Lloyd's.

Tier 3 — state media (labelled). Iranian statements (PGSA route warnings, the resume-tolls signal, non-claim of the Ever Lovely attack) are labelled and corroborated against CNN / AP / Reuters; Tasnim, Mehr, IRIB, IRNA, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (26 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 22 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (none triggered; oil held 2, US-inflation held 3). Escalation-risk is event-based and upgraded 3→4 on the Ever Lovely strike and US retaliation — the first armed exchange under the MOU.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 26 Jun close crashed \$2.45 below my oil intraday to the pre-war anchor).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with the ceasefire-violation aftermath, the IMO evacuation/traffic, the toll and IAEA disputes, and oil vs its pre-war anchor.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based — this edition it upgraded 3→4 on the first armed exchange under the MOU (the Ever Lovely strike and US retaliation), the first rise in the score since the late-May peak. The market channels were unchanged. A hawkish FOMC continues to pin the Treasury channel at 4.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+1.2%), 5Y5Y (+4 bp) and gasoline sit just above pre-war; WTI, 10Y breakevens, MOVE and VIX are at/below it; the hawkish Fed holds the front end and dollar above it.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close. The 26 Jun close crashed \$2.45 below my AM oil read to the pre-war anchor; market-channel triggers are evaluated only on confirmed closes (so oil holds 2 on a single at-anchor close), while escalation-risk is event-based (the ship attack and US retaliation). This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.